

GERMANY 2015

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1. Overview of the tax-benefit system

The laws for modern services on the labour market (*Gesetze für moderne Dienstleistungen am Arbeitsmarkt*) reformed the welfare system of the Federal Republic of Germany in respect of unemployment. This involved the merging, as of 1st January 2005, of the former unemployment assistance and social assistance for persons who are able to work, to form a single basic jobseekers allowance (*Grundsicherung für Arbeitsuchende*). Social assistance was reformed as well, restricting eligibility to claimants older than 65 years of age and to those who are permanently (*Grundsicherung im Alter und bei Erwerbsminderung*) or temporarily (*Hilfe zum Lebensunterhalt*) unable to work. For the housing benefit (general and under social assistance) the city of Berlin is used as a reference region. Child care fees are calculated according to the scheme used in the city of Hamburg.

1.1. Average Worker Wage (AW)¹

The average wage for 2015 is EUR 47 042.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2007-2008*, OECD, 2009, part IV.

2. Unemployment insurance

Program name in local language		Arbeitslosengeld (ALGI)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E: 12 months C: 12 months in last 2 years (Marginally employed (<EUR450/month) are contribution and insurance free)
Waiting period (days)		0
Maximum duration (months)		24
Uprating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	60%
	benefit at the end of legal entitlement period in % of calculation base	60%
	Calculation base(2)	Net
	Permitted employment and disregards when receiving unemployment insurance benefit	Work income from <15 hours per week disregarded up to EUR165 net income/week, total loss of benefit if working >=15 hours
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	+: 67% of net earnings if at least one dependent child
	contract type	0
	other	0

2.1 Conditions for receipt

Claimants have to be:

- Younger than the legal retirement age.
- Registered unemployed.
- Looking and available for work.

Unemployment insurance is compulsory.

2.1.1 Employment conditions

A claimant must have worked at least 12 months to be eligible.

2.1.2 *Contribution conditions*

Contributions must have been made for at least 12 months in the last 2 years.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The benefit is paid to the individual. The replacement rates are 60 per cent of their previous earnings net of tax and social security contributions (*Note:* Net of tax means the monthly salary after deductions of corresponding taxes and contributions as in individual basis), and 67 per cent for a worker with at least one dependent child. The monthly ceilings are 60 and 67 per cent of EUR 6.050 (west) and 5.200 (east) monthly gross earnings, respectively.

2.2.2 *Income and earnings disregards*

People earning less than EUR 450/month do not qualify for unemployment insurance contributions. People receiving UI may work less than 15 hours a week; working 15 hours or more stops all benefit entitlements.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment insurance pays a net benefit: it is not taxable.

2.4 *Benefit duration*

There is no waiting period. The duration of payment depends on age and employment record according to the following table. Benefits are paid 30 days per month.

Contribution period (months)	Benefit payment	
	Varying with age	Duration (months)
12		6
16		8
20		10
24		12
30	50	15
36	55	18
48	58	24

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

This enumerated pension types can be claimed by unemployed persons before reaching standard retirement age:

Unemployed people formerly qualified for the old-age pension for unemployment or following partial retirement at 60 years, later 63 years upward, under the following conditions: they are born before 1952, have contributed for at least 15 years to the old age security system, have within the last 10 years an 8-years compulsory contribution periods due to employment or self-employment and have been unemployed for 52 weeks within the last 18 after the age of 58 years and 6 months. The amount of this pension type is reduced by a 0.3% deduction for each month which this pension is claimed for before a certain age is reached by the applicant. Hence, for example the beginning of retirement at the age of 60 causes a reduction of the old age pension by 18 per cent, the beginning at 63 a reduction by 7.2 per cent. However, as this pension is only available for people born before 1952, it gradually loses its scope.

Women born before 1952 had the right to claim the old age pension for women at the age 60 years upward. Therefore, similar to the old age pension for unemployment or following partial retirement, the old age pension for women gradually loses its scope. Further conditions for this pension are contributions for at least 15 years to the old age security system overall and more than 10 years with compulsory contribution periods due to employment or self-employment after the age of 40. The amount of this pension type is reduced by a 0.3% deduction for each month which this pension is claimed before a certain age is reached by the applicant.

Anyone who has contributed for at least 35 years to the old age security system can claim for old age pension for long-term insured persons early at 63 years upward, whereas the normal pension age in 2014 is 65 years and 5 months, rising gradually year by year to 67. The amount is reduced by a 0.3% deduction for each month which this pension is claimed before the above mentioned raised age.

People with an insurance period of at least 45 years can claim the old-age pension for exceptional long-term insured persons without any deductions before standard pension age. Payable from the age of 63 years after an insurance period of 45 years. The 45-year qualifying period can be only made up with compulsory contribution periods due to employment or self-employment, substitute periods like certain periods for child and not professional care periods, periods of unemployment except the last two years before retire, illness and medical or occupational rehabilitation. Here as an exemption, periods of

voluntary insurance can only be taken into account, if at least 18 years of contributions are recorded. The age limit for this pension rises gradually from 63 to 65 in two-month steps for persons born from 1953 to 1964.

Persons have the right to claim the old age a pension for severely disabled persons at age 60 and nine month upward after a qualifying period of 35 years if at the commencement of the pension the applicant is recognized as severely disabled. The amount of this pension type is reduced by a 0.3% deduction for each month which this pension is claimed before a certain age is reached by the applicant. The above mentioned earliest retirement age currently rises step by step from 60 to 62, but there still remain exemptions for particular groups.

Former miners who have worked constantly for a long period underground can claim the old age pension for miners without any deductions from age of 60 years and nine months. 25 years of insurance periods in mining with constantly underground work or to these equivalent periods in mining are needed.

2.5.3 *Others if applicable, including disabled*

For carers, employees in other foreign countries except for EU countries and self-employed, insured in the unemployment insurance before, could insure themselves on a voluntary basis.

3. Unemployment assistance/social assistance

As of 1st January 2005, unemployment assistance and social assistance for persons who are able to work were combined into one benefit, the basic jobseekers allowance (unemployment benefit II).

Unlike unemployment benefit, the basic jobseekers allowance is a tax-financed, needs-based and means-tested public welfare benefit.

Program name in local language		Grundsicherung für Arbeitssuchende / Arbeitslosengeld II (ALGII)
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		No
Waiting period (days)		0
Maximum duration (months)		No limit
Uprating mechanism of the benefit		...
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	n.a.
	benefit at the end of legal entitlement period in % of calculation base	Flat rate
	Calculation base(1)	n.a.
	Permitted employment and disregards when receiving unemployment assistance benefit	EUR100/month > gross income < EUR1000/month: 80% withdrawal rate EUR1000/month = or > gross income < EUR1200/month (EUR1500/month if children): withdrawal rate of 90%
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + unemployed partner, + for each child, + as child age increases, + lone parent supplement
	contract type	0
	other	0

3.1 Conditions for receipt

Prerequisites for receiving the basic jobseekers allowance:

- age between 15 up to but not including 65 years (will increase by the increase of statutory retirement age),
- able to work
- in need of aid
- usually resident in the Federal Republic of Germany
- Foreign nationals also must have or be eligible to the permission to work.

Not only the person who has filed the application, but also those who live with this person in a need unit receive basic allowance benefits. Persons in need of aid who are able to work receive unemployment benefit II, those who are unable to work and live together with the unemployment benefit II recipient, receive social allowance. However, the basic elements of both benefits are similar.

3.1.1 Employment conditions

Persons who continue to be unemployed when their claim to unemployment benefit has expired or persons who are able to work and whose income is not sufficient to secure their own and their family's livelihood are eligible to unemployment benefit II.

3.1.2 Contribution conditions

No Contributions must have been made. Applicants just have to be in need of aid.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Unemployment benefit II is made up of the following benefits:

- **Basic needs assistance** (BNA) to secure the recipients' livelihood (covers the demand for food, personal care, household goods, everyday needs). It includes a lump-sum for non-recurring and recurring needs.

BNA level 1	BNA level 2	BNA level 3	BNA level 4	BNA level 5	BNA level 6
399	360	320	302	267	234

The basic needs assistance is adjusted annually on 1st January in line with the weighted average of the increase gross salary by employee (30%) and the increase of prices of the relevant goods and services for the normal requirements (70%) for the calculation the basic needs assistance. New adjustments in those years, for which results of new income and consumption samples (EVS) will be produced.

Basic needs assistance level 1

An adult entitled person, single or lone parent who have a household of their own; this also applies if in the household live other adult members of household entitled to basic needs assistance level 3.

Basic needs assistance level 2

Two adult members of household.

Basic needs assistance level 3

Adult member of a household, who neither doesn't run his/her own household nor living as spouse or spousal equivalent in a household.

Basic needs assistance level 4

member of household starting from their 15th year of life up to the completion of their 18th year of life.

Basic needs assistance level 5

member of household starting from their 7th year of life up to the completion of their 14th year of life.

Basic needs assistance level 6

Member of household up to the completion of their 6th year of life.

Children under the age of 25 have been reintegrated into their parents need unit. The only option to move out of their parents need unit is, if there are serious social reasons or if it is necessary for their integration into the labour market. (vgl. Gesetz zur Änderung des Zweiten Buches Sozialgesetzbuch und anderer Gesetze).

- **Additional needs allowances** for extra expenses not covered by the standard benefit
 - for expectant mothers from the 13th week of pregnancy
 - for lone parents depending on the age and number of children
 - for persons with disabilities
 - for expensive nutrition if demonstrably required for medical reasons
- **Housing and heating allowance** covering the actual expenses, if reasonable (see 5.2.b)
- **One-off benefits** for needs not covered by the standard benefit
 - initial flat furnishing including household appliances,
 - initial set of clothes incl. in case of pregnancy and childbirth
- Insurance contributions towards the statutory health insurance and long-term care insurance
- **Education and participation package**

From 1st January 2011 Families with children and youths under 18 or 25 years are in principle entitled to benefit from the education and participation package if they receive:

 - Jobseekers allowance or
 - Welfare assistance or basic financial assistance in old age and partial reduction in earning capacity (Grundsicherung im Alter und Erwerbsminderung) or
 - Allowance according to the section 2 of asylum-seeker law or
 - Housing allowance or
 - Supplementary Child allowance

The education and participation package comprise the following benefits:

For children and youths below 18 years:

- Participation in sports and cultural activities 10 € per month.

For children and youths below 25 years:

- general schools and vocational training schools

- School requisites: 100 € per school year (70 € for the first term of a school year and 30 € for the second term of a school year);
- Trips and several days trips within (school) law provisions: actual costs of the trips in full amount organized by a school or a day-care centre;
- Pupil way to school: Costs that are not covered by others or by the normal requirement;
- Learning assistance: Reasonable customary charges for learning assistance in full amount (Confirmation from the school that the support is necessary to reach the class objective).
- nursery schools or child day care, general schools and vocational training schools
 - Costs of the lunch offered at the day-care centre/- day-care or at school (1 € own share).

The basic allowance is composed of the following:

Standard basic rate for the head-of-household or persons living alone	
+	Standard rates for any other household members
+	Any extra allowances for additional needs
+	Rent and utilities
	Heating costs
=	Social assistance need
<i>minus</i>	Net income (- earning disregards)
=	Actual cost-of-living assistance to be paid

3.2.2 *Income and earnings disregards*

Other benefits are only counted towards the unemployment benefit II if they serve the same purpose, which is to secure the recipients' livelihood. Where the income serves another purpose, it will be disregarded if the beneficiary does not do so well out of these benefits that additional receipt of the unemployment benefit II is unreasonable.

Income is regarded if it serves the same purpose and the ceilings for extra income are exceeded.

A basic allowance of 100 € was introduced. For gross incomes above the first 100 € the rate of withdrawal of UB II was reduced to 80 % up to a gross income of 1000 € and to 90 % in a range between 1000 € and 1200 € for single workers (up to 1500 € for working recipients with children).

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

3.4 *Benefit duration*

Unemployment benefit II is granted for an indefinite period of time, if the eligibility criteria are permanently fulfilled.

To allow need for aid to be verified at reasonable intervals, the benefits are usually granted for six months.

3.5 *Treatment of particular groups*

3.5.1 Young persons

Young persons up to age 25 are particularly supported under the basic jobseekers allowance. They immediately have to be placed into jobs, training or a fixed-term opportunity to work with qualification possibilities. They have been reintegrated into their parents need unit and they can only move into an own flat, if there are serious social reasons or if the move is necessary for their integration into the labour market.

3.5.2 Older workers

As in the case of unemployment benefit, older persons in need of aid can have themselves released from placement into jobs. Comment: This rule is abolished but does apply for some people under the protection of legitimate expectations.

In addition, older persons in need of aid are subject to other free income ceilings: instead of 150 euros per year of life (not more than 16.250 Euros), they have 520 euros per year of life (not more than 33.800 euros) disregarded for unemployment benefit II purposes, if they are born before 1948.

3.5.3. Pregnant workers and workers who have recently given birth or are breastfeeding

During maternity leave - 6 weeks before and 8 weeks after the birth of the child (in the case of premature birth and birth of multiples the maternity leave after birth is 12 weeks) - employees insured in a statutory health insurance receive maternity pay up to 13 € per day. Employees insured in a private health insurance or insured in a statutory health insurance as a dependent receive the maternity pay by the government up to a limit of 210 € per month. Additionally the employer pays the difference between 13 € and average net wage.

The cost-bearers of the benefits are the statutory health insurance, employer and the federal state.

3.5.4 Others if applicable, including disabled

For lone parents, persons with disabilities and persons who need an expensive diet, an additional needs allowance is paid in addition to the standard benefit rate (cf 3.2.1)

4. Social assistance

Social assistance is provided so that everyone entitled to it can live in human dignity. This objective is enshrined in the opening words of SGB XII. Where income and savings fall short, social assistance covers the minimum needed to maintain a socially acceptable living standard. It also aims to compensate as necessary for other impediments such as disabilities, need of nursing care or other exceptional social difficulties so that people can take part in community life as fully as possible. Reflecting its two main forms, social assistance used to be divided into assistance towards living expenses and assistance in special circumstances. This two-way division has now been replaced by a division into seven chapters covering assistance in specific sets of circumstances.

Types of social assistance

In its new form, social assistance covers:

- Assistance towards living expenses
- Needs-based pension supplement in old age and in the event of reduced earning capacity
- Assistance towards healthcare
- Integration assistance for disabled persons
- Assistance towards nursing care
- Assistance in overcoming special social difficulties and
- Assistance in other circumstances

Each of these is provided together with advice and support as necessary.

Program name in local language		Sozialhilfe
Minimum age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed(2)	No
	Participation in integration measures	No
	Active job search(2)	No
	Work requirement(2)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	• temporally fully disabled persons • fully disabled persons • persons reaching the statutory retirement age
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National

Upgrading mechanism of the benefit		Adjusted each year on 1 January according to mixed index of the development of prices relevant for the normal requirements (70%) and of net wages and salaries (30%). New adjustments in those years, for which results of new income and consumption samples will be produced.
Other supplements to basic benefit (per family)		Education and participation package of EUR100 per year, (EUR70 for the first term of a school year and EUR30 for the second term of a school year).
Means-test for social assistance	Earnings disregards	No
	Benefit withdrawal rate with regard to earned income	Entitled individuals can retain 30% of their earnings from employment, where any employment is assumed under SGB XII to be for less than three hours a day since individuals capable of working more than this would be come under SGB II. Although people with disabilities working in sheltered workshops are, as before, allowed to keep earnings equalling 12,5% of the reference rate plus 25% of their pay in excess of this amount.
	Assets included in means test?	Yes
	Other benefits included in the means test	
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + unemployed partner, + for each child, + as child age increases, + lone parent supplement
	over time	0
	other	0

4.1 Conditions for receipt

Social assistance (Sozialhilfe) provides a safety net to protect people from poverty, social exclusion and hardship; it helps individuals and households who are unable and lack the resources to meet their own needs and have insufficient entitlement under other insurance and welfare systems that come before.

Seniors over 65 and adults over 18 years who exhibit a permanent and comprehensive work incapacity in consequence of medical reasons are entitled to a special form of social assistance, the so-called "Grundsicherung im Alter und Erwerbsminderung" (Chapter 4 of SGB XII). The amount of this benefit is equal to assistance towards living expenses in chapter 3 of SGB XII. Unlike the situation in case

of assistance towards living expenses (Chapter 3 of SGB XII), no recourse is made to children or parents if their annual income is under €100.000.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

- **Basic needs assistance** (BNA) to secure the recipients' livelihood (covers the demand for food, personal care, household goods, everyday needs). It includes a lump-sum for non-recurring and recurring needs.

BNA Level 1	BNA Level 2	BNA Level 3	BNA Level 4	BNA Level 5	BNA Level 6
399	360	320	302	267	234

The basic needs assistance is adjusted annually on 1st January in line with the weighted average of the increase gross salary by employee (30%) and the increase of prices of the relevant goods and services for the normal requirements (70%) for the calculation the basic needs assistance. New adjustments in those years, for which results of new income and consumption samples (EVS) will be produced.

Basic needs assistance level 1

An adult entitled person, single or lone parent who have a household of their own; this also applies if in the household live other adult members of household entitled to basic needs assistance level 3.

Basic needs assistance level 2

Two adult members of household (couple, informal marriage, civil union).

Basic needs assistance level 3

Adult member of a household, who neither doesn't run his/her own household nor living as spouse or spousal equivalent in a household.

Basic needs assistance level 4:

member of household starting from their 15th year of life up to the completion of their 18th year of life.

Basic needs assistance level 5:

member of household starting from their 7th year of life up to the completion of their 14th year of life.

Basic needs assistance level 6:

Member of household up to the completion of their 6th year of life.

- **Additional needs allowances** for extra expenses not covered by the standard benefit

- for expectant mothers from the 13th week of pregnancy
- for lone parents depending on the age and number of children
- for persons with disabilities if they get Integration assistance for disabled persons under chapter 6 SGB XII for school education, college education or commercial education
- for expensive nutrition if demonstrably required for medical reasons
- **Housing and heating allowance** covering the actual expenses, if reasonable (see 5.2.b)
- **One-off benefits** for needs not covered by the standard benefit
 - initial flat furnishing including household appliances,
 - initial set of clothes incl. in case of pregnancy and childbirth
- Insurance contributions towards the statutory health insurance, pensions insurance and long-term care insurance
- **Education and participation package**

From 1st January 2011 Families with children and youths under 18 or 25 years are in principle entitled to benefit from the education and participation package if they receive:

- Jobseekers allowance or
- Welfare assistance or basic financial assistance in old age and partial reduction in earning capacity (Grundsicherung im Alter und Erwerbsminderung) or
- Allowance according to the section 2 of asylum-seeker law or
- Housing allowance or
- Supplementary Child allowance

The education and participation package comprise the benefits discussed in section 3.2:1

Generally, it must be borne in mind that regarded income and assets reduce the allowance.

Consequently, the basic allowance is composed of the following:

Basic needs assistance (BNA) for the person and/or for any other household members	
+	Any extra allowances for additional needs
+	Rent and utilities
	Heating costs
=	Social assistance need
<i>minus</i>	
	Net income

= Actual cost-of-living assistance to be paid
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4.2.2 *Income and earnings disregard*

Other benefits are only counted towards assistance towards living expenses if they serve the same purpose, which is to secure the recipients' livelihood. Where the income serves another purpose, it will be disregarded if the beneficiary does not do so well out of these benefits that additional receipt of the unemployment benefit II is unreasonable.

Income is regarded if it serves the same purpose. Entitled individuals can retain 30% of their earnings from employment, where any employment is assumed under SGB XII to be for less than three hours a day since individuals capable of working more than this would come under SGB II, basic security benefits for job-seekers (although people with disabilities working in sheltered workshops are, as before, allowed to keep earnings equalling 12.5% of the reference rate plus 25% of their pay in excess of this amount).

Assets in excess of free amounts are regarded as well.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration*

Social assistance is granted for an indefinite period of time, if the eligibility criteria are permanently fulfilled.

4.5 *Treatment of particular group, including disabled*

- **One-off benefits** for needs not covered by the standard benefit
 - initial flat furnishing including household appliances,
 - initial set of clothes incl. in case of pregnancy and childbirth
 - several days' school trips within school law provisions

could also be applied for by persons that do not receive any assistance according to SGB XII, but whose income would not be sufficient to cover these one-time expenditures. A respective 7-month-savings amount is taken into consideration.

5. Housing benefits

The city of Berlin is used as a reference region for the housing benefit.

Regular housing benefits	Program name in local language		Wohngeld
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	Yes
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		Scheme with various ceilings including the quality of dwelling
	Uprating mechanism of the benefit		...
	Housing related support through other benefits		Housing benefit for recipients of unemployment benefit II (Kosten der Unterkunft costs of accommodation))

5.1 Conditions for receipt

Anyone with low income and high rent or high financial obligations resulting from his/her own dwelling (*i.e.* owner occupied) may be eligible.

A person who receives basic jobseekers allowance (SGB II, unemployment benefit II), assistance towards living expenses under Chapter 3 of SGB XII or needs-based pension supplement in old age and in the event of reduced earning capacity under Chapter 4 of SGB XII is not eligible to rent allowance. The actual costs of housing and heating, if reasonable, are already included in the unemployment benefit II (cf 3, 4 and 5.2b).

5.2 Calculation of benefit amount

a. Benefits under the Rent Allowance Act (Wohngeldgesetz)

Households are eligible to apply for housing allowances irrespective of the type of housing tenure in which they live. Hence owner-occupiers, private tenants and social housing tenants are all eligible.

Housing allowance is granted as a tabulated housing allowance. The housing allowance entitlement is calculated using a formula which has three parameters: size of household, eligible income, and eligible housing costs (rent or burden of financial obligations). This formula is then translated into tables for different sizes of household, which show how much allowance a household is entitled to receive for different levels of income and housing costs. The tables group income and rent in bands, so that within each income band and each housing cost band, households are entitled to the same amount of allowance.

$$HA = 1.08 * (M - (a + b * M + c * Y) * Y) \quad [\text{for } HA \geq \text{EUR } 10 \text{ otherwise } 0]$$

Where:

Household size ¹ (persons)	Parameters of the rent burden function			Monthly household income (EUR)	
	a	b	c	Minimum Y _{min}	Maximum ² Y _{max}
1	6.3/100	7.963/10 000	9.102/100 000	210	820
2	5.7/100	5.761/10 000	6.431/100 000	250	1 120
3	5.5/100	5.176/10 000	3.250/100 000	270	1 380
4	4.7/100	3.945/10 000	2.325/100 000	320	1 810
5	4.2/100	3.483/10 000	2.151/100 000	350	2 080
6	3.7/100	3.269/10 000	1.519/100 000	370	2 350

1. Parameters also exist for household sizes from 7 to 12 persons.

2. Level of rent (“Mietenstufe”): category IV, also see http://www.bmub.bund.de/themen/stadt-wohnen/wohnraumfoerderung/details-wohnraumfoerderung/artikel/mietenstufen-der-gemeinden/?tx_ttnews%5BbackPid%5D=3085

“M” is the rounded monthly rent or home loan repayment to be taken into account.

“Y” is the rounded monthly income in Euros.

Any values for “M” and “Y” which are below the values set out in the following table shall be replaced by the figures in the table.

Household size (persons)	M	Y
1	45	205
2	55	245
3	65	265
4	75	315
5	85	345
6	85	365

1. Parameters also exist for household sizes from 7 to 12 persons (see ANNEX).

Note: Lump sum deductions on income are 6, 10, 20 and 30 per cent. These deductions are made from the individual income of each household member. Deductions depend on the payment of 1. taxes, 2. contributions to health insurance and nursing care insurance and 3. old age insurance (see section 16 of the Housing Allowance Act). If one of these conditions is fulfilled 10% are deducted, 20% if two conditions are fulfilled, and 30% if all three conditions are fulfilled. If none of the three conditions is fulfilled 6% are deducted.

The calculation is carried out in a specified order and subject to strict rounding methods at various stages.

5.2.1 Calculation of gross benefit

The amount of housing allowance depends on the number of the persons in the household, the eligible income and the eligible rent or burden of financial obligations (up to ceilings differentiated according to regional rent level, household size). The fixed amount for heating costs that was introduced in 2009, was revoked from January 2011 on. The maximum rent levels used for the purposes of this study are given in the table below:

Household size (persons)	Maximum monthly rent* (EUR)
1	358
2	435
3	517
4	600
5	688
For each extra person	83

*level of rent: category IV.

5.2.2 *Income and earnings disregards*

The housing allowance is linked to taxable income, to which numerous non-taxable income-components (with the exception of family benefits [*Kindergeld*]) are added, in order to approximate the net-household income as well as possible. For certain groups (*e.g.* households with disabled persons, lone-parents) free allowances are deducted from the imputed income.

b. Housing costs under the unemployment benefit II

Reasonable housing costs are determined according to the circumstances of each individual case, particularly family size, the age, sex and state of health of the family members. Based on these individual data of the beneficiary and their relatives, the number of rooms, the local rent level and the possibilities of the local housing market must be evaluated.

The reasonable rent per square metre is determined based on the rent for comparable lower end flats at the place where the beneficiary lives and can be seen from the local representative rent list. Failing this, other reference measures must be used, such as the maximum rates stipulated in the Housing Allowance Act (*Wohngeldgesetz*) that differ according to household size and local rent level. However, it must be borne in mind that amounts higher than those stipulated in the Housing Allowance Act tend to be the local rule in major cities, tourist centres or near-city communities with more than 20,000 population.

The following would be average reasonable flat sizes:

1 person	ca. 45 – 50 sqm
2 persons	ca. 60 sqm or 2 rooms
3 persons	ca. 75 sqm or 3 rooms
4 persons	ca. 85 – 90 sqm or 4 rooms
plus ca. 10-12 sqm or one room for each additional family member.	

If the person in need of aid who is able to work, lives in a (reasonable) house of their own or condominium, housing costs include the liabilities involved (such as adequate mortgage interest, real property tax and other public charges, residential building insurance, ground rent, incidentals as in the case of rented flats, refuse collection fee, chimney sweep fee, street cleaning). Also regular expenses for heating are to be covered. By contrast, redemption rates cannot be considered. Their purpose is capital formation, which is not compatible with that of a welfare benefit.

The following figures provide the monthly housing expenses by household type (December 2015)²

Housing benefit for recipients of unemployment benefit II (included heating and operating costs)

Single	314 € (99 €)
--------	--------------

Lone parent

with 1 child	446 € (148 €)
--------------	---------------

with 2 children	523 € (176 €)
-----------------	---------------

with 3 or more children	618 € (213 €)
-------------------------	---------------

couple without children	393 € (137 €)
-------------------------	---------------

couple with children

with 1 child	535 € (179 €)
--------------	---------------

with 2 children	616 € (208 €)
-----------------	---------------

with 3 or more children	728 € (249 €)
-------------------------	---------------

5.3 ***Tax treatment of benefit and interaction with other benefits***

Recipients of unemployment benefit II receive benefits for housing and heating exclusively as specified in provisions of Social Code Book II (SGB II), additional benefits under the Rent Allowance Act are excluded.

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

² Source: Analytikreport der Statistik, Bundesagentur für Arbeit p. 62
(<https://statistik.arbeitsagentur.de/Statistikdaten/Detail/201604/analyse/analyse-d-grundsicherung-arbeitsuchende/analyse-d-grundsicherung-arbeitsuchende-d-0-201604-pdf.pdf>)

6. Family benefits

Family benefits, known as family tax credit *Kindergeld*, are awarded in the form of a monthly tax refund. Further direct cash transfers are the parental allowance (*Elterngeld and ElterngeldPlus*) and the supplementary child allowance (*Kinderzuschlag*).

Program name (local name in parentheses if available)		General family benefit (Kindergeld)	Supplementary child allowance (Kinderzuschlag)	Education and participation package (Bildungspaket)
Type of benefit		Universal, if more preferential monthly tax refund is chosen (reduces social assistance if there is no tax liability)	Targeted	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)	18 (25)	18 (25)	18 (25)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No	In receipt of general family benefit, family income above minimum and below maximum threshold, paid to prevent working parents to apply for unemployment benefit II	Family must be recipient of unemployment benefit II, additional child benefit or general housing benefit
Upgrading mechanism of the benefit		Benefits are adjusted according to the law at irregular intervals	...	...

Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, +/- - proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	0	0
		Number of children	+++ for third and fourth, then ++	++	++
	Earnings disregard		n.a.	Yes, same as under Unemployment Assistance	No
	Withdrawal rate		n.a.	No withdrawal if family is below intermediate threshold (Bemessungsgrenze, depends on family income and hypothetical unemployment assistance rates), if above but below maximum threshold: withdrawal rate of 10%	Fully withdrawn as soon as conditions not fulfilled
	Assets part of means test?		n.a.	...	...

6.1.1 Family tax credit (Kindergeld)

The family tax credit is paid to all children up to age eighteen. The period during which the family tax credit is paid is prolonged up to the age of 25 for children undergoing training, and up to age 21 for children without a job. Should military or civilian service be done by the child during this period, the maximum age-limit is adjusted correspondingly. There is no age-limit for handicapped children who are unable to earn their living.

Family tax credit (non wastable) is not income-related and is awarded in the form of a monthly payment. It is staggered by the number of the children. The rates applying since 1 January 2015 are

EUR 188/month for the first and second child, EUR 194/month for the third child and EUR 219/month for the fourth and subsequent children.

The family tax credit is usually paid out by the local family office, otherwise by the private and public employers. The family tax credit is paid out to the person who cares for the children.

6.1.2 *Parental allowance (Elterngeld and ElterngeldPlus)*

Parental allowance (Elterngeld) is an important support for families after the birth of a child. Parental allowance compensates for a loss of income after the birth of a child and makes it easier for mothers and fathers temporarily to go without gainful employment completely or partly and thus to have more time to look after their child.

The parental allowance is paid to fathers and mothers for a maximum of 14 months; they can divide this period of time up between themselves as they choose. One parent can claim at least two and at most twelve months, and there are two more months if the partner participates in looking after the child and the parents lose at least two months of gainful employment. Single parents who are paid the parental allowance to compensate for the loss of employment income can claim the full 14 months parental allowance because of the lack of a partner.

Parents, whose child was born after the 1st of July 2015, can choose between the previous Elterngeld, that keeps on existing, and the ElterngeldPlus. ElterngeldPlus makes it easier for mothers and fathers to combine a parental allowance and part-time work. With ElterngeldPlus parents can extend the entitlement period: one Elterngeld month becomes two ElterngeldPlus months. Here the ElterngeldPlus, like the previous Elterngeld, replaces the loss in income by 65 to 100 percent. The sum of the ElterngeldPlus lies at maximum half of the monthly Elterngeld sum to which parents without part-time income would be entitled. In this way, mothers and fathers can also remain more flexible over and above the 14th month after the birth of their child in order to combine the needs of the child with the requirements of their jobs.

The reform of parental allowance also introduced a partnership bonus. If mothers and fathers both decide to work part-time simultaneously – for four months in parallel and between 25 to 30 hours per week – they will receive four additional ElterngeldPlus months each. In this way, families remain financially secure for longer when holding down a part-time job, and are better able to divide tasks within the partnership.

The level of the parental allowance (both Elterngeld and ElterngeldPlus) is based on the ongoing average monthly available employment income which the parent providing care was paid in the year before the birth (between 65% and 100%). It is at most €1,800 or €900 with ElterngeldPlus and at least €300 or €150 with ElterngeldPlus. The minimum parental allowance is also paid to all those who look after their child themselves after birth and work for a maximum of 30 hours a week, including students, housewives and house husbands and parents who have not worked because of looking after older children.

6.1.3 *Supplementary child allowance*

Since 1st January 2005, parents whose income and property are sufficient to secure their own livelihood but not the maintenance of their children, can receive the so-called supplementary child allowance (*Kinderzuschlag*) on their behalf. The supplementary child allowance prevents parents from having to apply for unemployment benefit II/social welfare benefits (cf 3) only because of the

maintenance of their children.³ Adjustments to the design of the calculation of the benefit took effect from October 1st 2008 on.

Conditions for benefit receipt

The following conditions must be met to be eligible for the benefit:

a) Married parents or lone parents are raising a **child or several children up to the age of 25** living in their household for which they are eligible to receive the general family benefit (Kindergeld).

b) **Minimum income threshold (Mindesteinkommengrenze)**: For eligibility parents' gross income must reach at least the minimum income threshold which is EUR 900 per month for a married couple and EUR 600 per month for a lone parent. Earnings from work, unemployment benefit I and invalidity benefits count towards the parents' income. General family and housing benefits are not considered as income.

c) **Maximum income threshold (Höchsteinkommengrenze)**: If parents have a higher relevant income and wealth ("zu berücksichtigendes Einkommen und Vermögen") than the maximum threshold, they are not eligible to receive the benefit.

Net work income and unemployment insurance benefits count towards the relevant income, general family and housing benefit not. For work income the same earnings disregards apply as with the basic job seekers allowance (see Section 3.2.2).

The maximum income threshold is defined as the sum of the **intermediate threshold (Bemessungsgrenze)** which consists of

- the parents' need according to the rules for unemployment benefit II (*Regelbedarf*) plus potential additional needs (*Mehrbedarf*),
- plus the rent multiplied by the parents' fraction of housing cost (*Wohnanteil der Eltern*),

and the maximum of the additional child benefit the family could possibly receive. The additional child benefit to be paid out can reach up to EUR 140 per child per month that is a member of the household).

The formula for calculating the intermediate threshold (BM) is implemented as follows in the model:

$$BM = SA_{parents} + rent * fraction_rent_parents,$$

where $SA_{parents}$ is the social assistance rate parents would receive without having children (*Regelbedarf der Eltern*, see Section 3.2.1 Calculation of gross benefit),

$rent$ is approximated using the upper limits of reasonable monthly housing expenses under unemployment benefit II (see Section 3.2.2 Income and earnings disregards), and

$fraction_rent_parents$, the fraction of rent attributed to the parents, is based as stipulated by law on the 9th Report on minimum incomes (*Neunter Existenzminimumbericht*):⁴

rent for parents	EUR 389
------------------	---------

³ See <http://www.arbeitsagentur.de/zentraler-Content/Veroeffentlichungen/Merkblatt-Sammlung/Merkblatt-Kinderzuschlag.pdf> for the scheme in place 2014. For the version in place 2010, see <http://www.helmholtz-muenchen.de/fileadmin/GLEICHSTELLUNG/PDF/Merkblatt-Kinderzuschlag.pdf> - reference values for the formulas used below have to be adjusted accordingly to 2012 levels.

⁴ Source:

<http://dipbt.bundestag.de/dip21/btd/17/055/1705550.pdf>

heating for parents	EUR 73,33
rent for lone parent	EUR 249
heating for lone parent	EUR 58
rent per child	EUR 78
heating per child	EUR 15

The parents' fraction of housing cost of living with one child is thus calculated as $(389 + 73,33)/(389 + 73,33 + 1 \cdot (78 + 15))$.

d) Parents are only entitled to receive the additional family benefit, provided that it **avoids reciprocity of unemployment benefit II** ("Vermeidung der Hilfebedürftigkeit im Sinne der Vorschriften über das Arbeitslosengeld II").

Calculation of benefit

If parents are eligible and their relevant income is below the intermediate threshold (Bemessungsgrenze), the family receives the full amount of the benefit per child (EUR 140). If the relevant parental income is above the intermediate threshold but below the maximum income threshold, the benefit is reduced by the following amount: For every EUR 10 that the relevant income exceeds the intermediate threshold, the maximum family benefit is reduced by EUR 1.

6.1.4 Education and participation support (Bildungspaket)

Since April 2011, parents entitled to the housing benefit or the supplementary child allowance with children up to 25 years can apply for the education and participation support to cover extra expenses due to school attendance and social activities of their children (see 3.2.1).

6.2 Income and earnings disregards

a. Family tax credit (Kindergeld)

Family tax credit (non wastable) is not income-related and is awarded in the form of a monthly payment (see 6.1.1).

b. Supplementary child allowance

Both the income and assets of the child and the parents' income are regarded under certain prerequisites and, if appropriate, counted towards the claim to supplementary child allowance.

6.3 Tax treatment of benefit and interaction with other benefits

Supplementary child allowance and unemployment benefit II are mutually exclusive. The parental allowance will not be taken into account by the calculation of unemployment benefit II or social assistance.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable, including disabled

7. Childcare for pre-school children

7.1 Out-of-pocket childcare fees paid by parents

Fees differ regionally, i.e. for each *Bundesland* and sometimes even at the local level. Central regulations only provide very general guidelines: They state that parents can be charged fees for ECEC services (cf. SGB VIII §90). These fees should take into account parents' income, the number of siblings, and hours of attendance, and be graded accordingly. The Bundesländer have established their own regulations that specify these central regulations.

Some Bundesländer have abolished fees payable by parents either for the last year in ECEC before school entry (Hessen minimum of 5hr/day, Lower Saxony minimum of 4 hr/day (from 3 year to 8 hr/day), North Rhine-Westphalia: number of hours as defined in the contract), or for the last three years in kindergarten (Berlin : number of hours as defined in the contract), from age 2 years (Rhineland-Palatinate: number of hours as defined in the contract).⁵

Since August 2014, the *Bundesland* and city of Hamburg offers childcare free of costs (lunch is included) for parents for 5 hours/day from birth until school entry (see table below).⁶

Fees for child care in Hamburg depend on the family income, the household size (parents and number of children), the age of the child as well as the weekly hours of provision required. There is a prescribed minimum and maximum fee.

If more than one child stays in care the full fee has to be paid for the youngest child. For the older one 1/3 of the regular fee has to be paid, but at least the minimum fee. For further children the minimum fee has to be paid.

Fees for all-day schools (*Ganztagsschulen*) in Hamburg are regulated as followed: The all-day school is always free from 8-16 pm- The only exception are the preschool classes (*Vorschulklassen*). Most all-day schools also offer services before 8am and after 16pm and during holidays. For these early and late hours and holiday times, fees are calculated by income.

2014 Child Care (grey: minimum fee)

Net Income* (month)	Krippe/Kindergarten ≤ 6y; 50 h/w		Krippe/Kindergarten 3y to 6y; 30 h/w	
	3	4	3	4
1023	16	16	4	4
1074	16	16	4	4
1125	16	16	4	4
1176	16	16	4	4
1227	16	16	4	4
1278	16	16	4	4
1329	16	16	5	4
1380	17	16	5	4

⁵ Source: The Bertelsmann Stiftung's annual report on early childhood education "State by State Monitoring", indicator "Legal entitlement to a place in ECEC and free ECEC, data from February 2016; <http://www.laendermonitor.de/uebersicht-grafiken/indikator-1-rechtsanspruch-auf-einen-betreuungsplatz-und-beitragsfreiheit/index.nc.html> (22.06.2016).

⁶ Source: Freie und Hansestadt Hamburg, Behörde für Arbeit, Soziales, Familie und Integration: Elternbeiträge für Kindertageseinrichtungen und Kindertagespflege: <http://www.hamburg.de/contentblob/118784/37988c1a9b113128f940f5291ef6083e/data/elternbeitraege-broschuere.pdf> (29.06.2016).

1432	18	16	5	4
1483	20	16	6	5
1534	23	16	7	6
1585	25	16	7	6
1636	27	16	7	6
1687	29	16	8	7
1738	32	19	9	8
1790	36	23	9	9
1841	39	26	10	9
1892	42	29	11	10
1943	46	33	11	11
1994	50	36	12	12
2045	55	41	14	13
2096	58	46	15	14
2147	64	51	17	15
2199	69	55	17	17
2250	74	60	18	17
2301	78	65	19	18
2352	83	70	20	19
2403	88	75	21	21
2454	94	80	22	22
2505	99	86	24	22
2556	104	91	24	24
2608	110	97	35	25
2659	116	103	46	37
2710	132	109	58	48
2761	149	114	69	60
2812	165	131	82	72
2863	183	148	94	85
2914	201	166	107	98
2965	204	184	115	111
3017	204	202	115	115
3068	204	204	115	115
3119	204	204	115	115
3170	204	204	115	115
3221	204	204	115	115
3272	204	204	115	115
3323	204	204	115	115
3375	204	204	115	115

Family income per year: Parents' gross income per year, less Werbungskosten, plus alimony payments, plus non-taxable income, plus government subsidies related to the subsistence of parents and children, less deductible amounts / basic untaxed amounts (Freibeträge) which the Bundesland foresees for the second and any further children.*

Please see annex for different household sizes and the case of children under 3 years and 20 hours of childcare per week.

7.2 **Child-care benefits**

In Germany, general payments to subsidise or reduce the cost of child care do not exist. Day care and related services are offered on a lawful basis by local youth agencies, mostly funded by public means. Parents are asked to contribute according to their situation. Moreover, since 2006 two thirds of

the cost for children up to the age of 14 years can be deducted as expenses from taxable income. The maximum deduction is EUR 4,000 per child.

8. Employment-conditional benefits

8.1 *Conditions for receipt*

Since 1st January 2005, work entry assistance (*Einstiegsgeld* – section 16b Social Code Book II) can be granted as a disregarded subsidy towards the unemployment benefit II, if a person in need of aid who is able to work takes up a dependent employment or self-employed activity in an effort to overcome neediness in the foreseeable future. If and how much work entry assistance will be granted is for the authority responsible for the basic jobseekers allowance to decide.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

The amount of the work entry assistance can be individually determined on a case by case basis.

8.3 *Tax treatment of benefit and interaction with other benefits*

a.) The special wage subsidies are exempt from taxes and contributions.

8.4 *Benefit duration*

The work entry assistance can be granted for 24 months at the longest.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

9. Lone-parent benefits

Program name (local name in parentheses if available)			Lone parent supplement to social assistance (Grundsicherung für Arbeitssuchende)	Alimony advance payment (Unterhaltsvorschuss)
Type of benefit			Targeted	Universal
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		18 (25)	11
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Family receives unemployment benefit II	Other parent does not pay (regularly) basic child alimony, maximum duration of 72 months
Uprating mechanism of the benefit			Adjusted each year on 1 January according to mixed index of the development of prices relevant for the normal requirements (70%) and of net wages and salaries (30%). New adjustments in those years, for which results of new income and consumption samples will be produced.	...
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	+
		Number of children	++ if per child payment more advantageous than lump-sum	++
	Earnings disregard		n.a.	n.a.
	Withdrawal rate		n.a.	n.a.
	Assets part of means test?		...	...

Supplements for additional needs of unemployment benefit II recipients (Mehrbedarfszuschläge)

Owing to their special life circumstances, recipients of unemployment benefit II who are lone parents, receive an additional needs allowance (cf. 3.2.1.).

Persons with resident underage children whom they raise and care for alone qualify for an additional needs allowance amounting to 36 per cent of the standard benefit due to the person concerned, if they live with one child under age seven or with two or more children under age 16, or 12 per cent of the standard benefit applicable for each child, if this works out to a higher percentage rate than under the first regulation, but not more than 60 per cent of the standard benefit for which the person concerned qualifies.

Alimony advance (Unterhaltsvorschuss)

Children of lone parents until the age of 12 will receive additional child support if they did not receive the basic child alimony by the other parent or the alimony is not paid in time or on an irregular basis.

9.1 Conditions for receipt

Alimony advance is granted to children of lone parents until they have completed the age of 12 if they live in Germany and did not receive (or partially or irregularly) alimony by the other parent. Alimony advance is paid for not longer than 72 calendar months.

9.2 Calculation of benefit amount

In the time from 1.January 2015 to 30.June 2015 the support advance for children under the age 6 is EUR 133 per month and afterwards EUR 180 per month. In the time from 1.July 2015 to 31 December 2015 the support for children under the age 6 is EUR 144 per month and afterwards EUR 192 per month.

9.2.1 Calculation of gross benefit

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

The alimony advance will be deducted from unemployment benefit II and social assistance.

9.4 Benefit duration

Alimony advance is paid for not longer than 72 calendar months and not longer than the child has completed the age of 12.

9.5 Treatment of particular group

None

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

10. Tax system

10.1 Income tax

10.1.1. Tax unit

Spouses are generally assessed jointly. They however have the option of being assessed separately. The income of dependent children is not assessable with that of the parents. The calculations in this Report assume joint taxation of the income of the spouses.

10.1.2. Tax allowances and tax credits:

1.1.2.1. Standard reliefs and work-related expenses

- *Basic reliefs:* None.
- *Standard marital status reliefs:* In the case of joint assessment, specific allowances are doubled. The income tax liability is computed by applying the income splitting method.
- *Relief(s) for children:* As of 1 January 2015, there are increased tax credits of EUR 2 256 for the first and the second child, of EUR 2 328 for the third child and of EUR 2 628 for the fourth and subsequent children. There is a tax allowance of EUR 2 256 for the subsistence of a child and an additional EUR 1 320 for minding and education or training needs (EUR 3 576). The amount of this allowance is doubled in case of jointly assessed parents. If the value of the tax credit is less than the relief calculated applying the tax allowances, the taxpayer obtains the tax allowance instead of the tax credit. It is also doubled for lone parents in cases where the other parent does not pay alimony. This is the assumption in the calculations presented in this Report.
- *Relief for lone parents:* As of 1 January 2015, taxpayers who live alone with at least one child that entitles them to the tax allowances or tax credits for children, receive an additional allowance of EUR 1 908 (formerly EUR 1 308). This additional allowance is increased by EUR 240 for each child in case of more than one child living in the household.
- *Reliefs for social security contributions and life insurance contributions:* Social security contributions and other expenses incurred in provision for the future (e.g. life insurance) are deductible up to specific ceilings. In 2005, a new calculation scheme came into force:

Step 1: all contributions made to pension funds (i.e. both employee's and employer's contributions) are added up. Step 2: the resulting amount is limited to EUR 20 000. Step 3: a certain percentage is applied to this amount (starting from 60 per cent in 2005, this percentage will be increased by 2 percentage points each year; it will reach 100 per cent in 2025). Step 4: the resulting amount, diminished by the (tax-free) contributions of the employer, is deductible from income.

The tax treatment of social security expenses (health, unemployment and care insurance) changed as of 1 January 2010. Employees' annual contributions to statutory health insurance excluding sickness benefit (assumed to amount to 96 per cent of statutory health contributions) and employees' contributions to mandatory long-term care insurance are deductible from the tax base. In case these contributions do not exceed EUR 1 900/3 800 (single/married couples), contributions to unemployment insurance and other insurances premiums can be deducted in addition up to this ceiling.

If the resulting sum of deductible amounts according the legislation in force since 2005 is lower than the allowance calculated under the scheme that was valid up to 2004, the former

regulations are applied in favour of the taxpayer (for more details on the old scheme: see 2005 edition and section 4. of this Report).

- *Work-related expenses*: EUR 1 000 lump-sum allowance per gainfully-employed person.
- *Special expenses*: Lump sum allowance (EUR 36/72 (singles/couples)) for special expenses, e.g. for tax accountancy. The actual expenses will be fully deductible from taxable income if the taxpayer proves that these expenses exceed the lump sum allowance.

1.1.2.2. Main non-standard tax reliefs applicable to an AW

- *Contributions to pensions, life insurance, superannuation schemes*: Other expenses than the compulsory contributions to social security are deductible as reliefs for (voluntary) social security contributions up to specific ceilings (see section 1.121).
- *Medical expenses*: Partially deductible if not covered by insurance.
- *Other*: Work-related expenses that exceed the lump-sum allowance are fully deductible (no ceiling).

10.1.2 Income tax schedule

The German tax schedule is formula-based. Taxable income is rounded down (to the EUR).

- X is the taxable income,
- T is the income tax liability,
- As of 1 January 2013 the following definitions are used in the income tax liability formulas:

$$\square = \frac{\square - 8472}{10000}$$

$$\square = \frac{\square - 13469}{10000}$$

The income tax liability (amounts in EUR) is calculated as follows:

- | | |
|--------------------------------------|--|
| 1. T = 0 | for X $\square$ 8 472 |
| 2. T = (997.60 Y + 1 400) Y | for 8 473 $\square\square\square$ X $\square\square\square\square\square\square\square\square$ |
| 3. T = (228.74 Z + 2 397) Z + 948,68 | for 13 470 $\square\square$ X $\square\square\square$ 52 881 |
| 4. T = 0.42 X – 8 261,29 | for 52 882 $\square$ X $\square\square\square\square\square\square\square\square$ |
| 5. T = 0.45 X – 15 783,19 | for 250 731 $\square$ X |

These formulas are used to calculate the income tax for single individuals.

The income tax liability for spouses who are assessed jointly is computed as follows: the income tax is calculated with respect to one-half of the joint taxable income. The resulting amount is doubled to obtain the income tax liability of the family (splitting method).

10.1.3. Solidarity surcharge

The solidarity surcharge is levied at 5.5 per cent of the income tax liability subject to an exemption limit of EUR 972/1 944 (singles/couples). The income tax liability is calculated applying the

tax allowance for children. If the income tax liability exceeds the exemption limit, the solidarity surcharge will be phased in at a higher rate of 20 per cent of the difference between the income tax liability and the exemption limit until it equals 5.5 per cent of the total liability.

10.1.4 State and local income taxes

None

10.2 Treatment of family income

Spouses are normally assessed jointly. They have, however, the option of being separately assessed. The income of dependent children is not assessable with that of the parents. The model calculations assume joint taxation of the income of the spouses.

10.3 Social security contribution schedule

The amount of social security contributions depends on the wage and the insurance contribution rate. All contributions are subject to a contribution ceiling, i.e. the maximum income for which statutory insurance contributions are calculated. The contribution rates for pension, health, care and unemployment insurances are fixed by the government.

10.3.1. Employee contributions

In general, earnings up to EUR 4 800 per year were free of employee social security contributions until 31 December 2012. As of 1 January 2013, some essential changes came into effect concerning minimally paid employment. The earnings limit increased from EUR 400 to EUR 450 per month. Persons whose mini-job started before 2013 and do not exceed the previous earnings limit of EUR 400 stay contribution-free in all classes of social insurance. Otherwise, persons who take up a new mini-job are generally subject to mandatory insurance coverage in the statutory pension scheme with the full pension contribution rate of 18.7 per cent (in 2015). If the earnings are below the amount of EUR 175 (minimum contribution limit), a minimum contribution of EUR 32.73 has to be paid (18.7 per cent of EUR 175). The employer's share amounts to 15 per cent of the whole pay whereas the employee's part adds up to 3.9 per cent (or the difference between minimum contribution and employer share). By applying for an exemption from obligatory insurance coverage the mini-job holder may reduce his share to EUR 0.

As of 1 April 2003, there was an additional concession for employees with monthly income between EUR 400.01 and EUR 800 per month (the so-called 'sliding pay scale', EUR 4 800.12 and EUR 9 600 per year). Due to the new regulations mentioned above the earnings limits shifted to EUR 450.01 and EUR 850.00 per month (EUR 5 400.12 and EUR 10 200 per year). If the employee's income falls within this range, part of the income will be exempt from social insurance contributions. However, employers are still required to pay the regular contributions on the employee's earnings. The arrangement is purely intended to relieve the financial burden on employees. The employees' contributions to social insurance rise on a straight-line basis over the income band reaching the full rate at EUR 850 per month. Details on social security contributions for workers earning more than EUR 10 200 per year are provided below.

10.3.1.1. Pensions

Employers and employees pay each half of the contribution rate of 18.7 per cent in 2015, that is 9.35 per cent of the employee's gross wage earnings, up to a contribution ceiling of EUR 72 600.

10.3.1.2. Sickness

The contribution rate account for 7.3 per cent for employers and 7.3 per cent for employees. The contribution ceiling in 2015 is EUR 49 500. The supplementary premium on members is only paid by the

employees. In 2015, the average supplementary premium rate is 0,9%. While all calculations shown in this Report assume membership in the public health insurance, workers with earnings above the contribution ceiling may opt out of the mandatory public health insurance system and may choose a private insurance provider instead (those opting for a private health insurance provider are required to obtain private long-term care insurance as well).

10.3.1.3. Unemployment

Employees pay half of the insurance contributions; the employer pays the other half. In 2015, the contribution rate is 3.0 per cent of assessable income. Employee and employer each pay 1.5 per cent. The contribution ceiling is EUR 72.600 west and 62.400 east.

10.3.1.4 Care

A long-term care insurance (a 1 per cent contribution rate) went into effect on 1 January 1995. The rate was raised to 1.7 per cent of the gross wage when home nursing care benefits were added six months later. As of 1 July 2008, the rate was increased to 1.95 per cent. In 2015, the contribution rate amounts to 2.35 per cent. The employers pay half of the contributions for long-term care insurance. In other words, employers and employees both pay a rate of 1.175 per cent. The assessable income is scaled according to the gross wage earnings but there is a contribution ceiling of EUR 49 500 in 2015.

As from 1 January 2005, child-raising is given special recognition in the law relating to statutory long-term care insurance. Childless contribution payers are required to pay a supplement of 0.25 per cent, raising the contribution rate paid by a childless employee from 0.975 per cent to 1.225 per cent as of 1 July 2008. In 2015, the contribution rate of a childless employee adds up to 1.425 per cent.

10.3.1.5. Work injury

Employer only.

10.3.1.6. Family allowances

None.

10.3.1.7. Others

None.

10.3.2 Contributions payable by employers

Germany has established a statutory occupational accident insurance. It is provided by industrial, agricultural and public-sector employers' liability insurance funds. This insurance protects employees and their families against the consequences of accidents at work and occupational illnesses. It is funded through the contributions paid by employers only. The amount of the employer's contributions depends on the sum total of employee annual pay and the employer's respective hazard level. As it is not possible to identify a representative contribution rate, these amounts are not considered in this Report.

For the general rates refer to Section 10.3.1.

10.3.3 Payroll taxes

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. Part-time work

11.1 *Benefit rules for part-time work*

People earning less than EUR 400/month do not qualify for unemployment insurance. People receiving UI can work less than 15 hours/week; working more destroys all benefit entitlements (see Section 2.2.2).

11.2 *Special tax and social security contribution rules for part-time work*

- For earnings up to EUR 400/month the employer pays 30% contribution (15% pension insurance, 13% health insurance, 2% tax). For part-time work in private households the employer's contribution is 12% (5% health and pension insurance, 2% tax). Furthermore the part-time worker has the option to increase the contribution for full entitlement to pension insurance.
- People earning between EUR 400,01 and EUR 800 per month pay contributions increasing by arithmetic progression from ca. 115% to full employee's contribution to all branches of social insurance with full insurance benefits. The employer pays full employer's contribution.

12. Policy development

12.1 *Policy changes introduced: 2nd July 2014 – 1st July 2015*

12.2 *Future policy changes announced since 1st July 2015*

Since January 1st, 2016 housing benefit (Wohngeld) has been considerably enhanced regarding their amount as well as the scope of beneficiaries.

ANNEX – Housing & Childcare parameters

$$HA = 1.08 * (M - (a+b*M+c*Y) * Y) \quad [\text{for } HA \geq \text{EUR } 10 \text{ otherwise } 0]$$

Household size ¹ (persons)	Parameters of the rent burden function			Monthly household income (EUR)	
	a	b	c	Minimum Y _{min}	Maximum ² Y _{max}
1	6.3/100	7.963/10 000	9.102/100 000	210	820
2	5.7/100	5.761/10 000	6.431/100 000	250	1 130
3	5.5/100	5.176/10 000	3.250/100 000	270	1 380
4	4.7/100	3.945/10 000	2.325/100 000	320	1 810
5	4.2/100	3.483/10 000	2.151/100 000	350	2 080
6	3.7/100	3.269/10 000	1.519/100 000	370	2 340

1. Parameters also exist for household sizes from 7 to 12 persons.

2. level of rent: category III.

Note: Lump sum deductions on income are: 6, 10, 20 and 30 per cent. These deductions are made from the income of each household member. Deductions depend on the payment of 1. taxes, 2. contributions to health and nursing care insurance and 3. old age insurance (see section 16 of the Housing Allowance Act). If one of these conditions is fulfilled 10% are deducted, 20% if two conditions are fulfilled and 30% if all three conditions are fulfilled. If none of the three conditions is fulfilled 6% are deducted.

Rules for calculating procedures and rounding (Annex 2 Housing Benefit Act):

To determine the housing benefit it is indispensable to follow the steps of calculation in the exact order.

Rules for calculating procedures and rounding (Annex 2 Housing Allowance Act):

To determine the housing allowance it is indispensable to follow the steps of calculation in the exact order.

1. “M” is the rounded monthly rent or home loan repayment to be taken into account (second sentence of Section 19 (1) of the Housing Allowance Act). When converting (“M*”) to “M”, i.e. the unrounded monthly rent or home loan repayment to be taken into consideration for the purposes of Sections 7 and 8 of the Act, the following shall apply:
To determine “M”, “M*” is rounded upward to the next higher full amount in euros that can be divided by 10 without leaving a remainder, provided “M” cannot simply be divided by 10 without leaving a remainder. If “M*” can be divided by 10 without leaving a remainder, “M*” is not changed. 5 euros must be subtracted from the resulting amount in all cases.
2. “Y” is the rounded monthly total income in euros (third sentence of section 19 (1) of the Act). “Y” is determined by rounding “Y*”, i.e. the unrounded total monthly income to be taken into consideration for the purposes of section 13 of the Act, upward to the next higher full amount in euros that can be divided by 10 without leaving a remainder, provided it cannot simply be divided

by 10 without leaving a remainder. If “Y*” can be divided by 10 without leaving a remainder, “Y*” is not changed. 5 euros must be subtracted from the resulting amount in all cases.

3. Any values for “M” and “Y” which are below the values set out in the following table shall be replaced by the figures in the table:

	1-person household	2-person household	3-person household	4-person household	5-person household	6-person household
M	45	55	65	75	85	85
Y	205	245	265	315	345	365
	7-person household	8-person household	9-person household	10-person household	11-person household	12-person household
M	95	105	115	125	155	245
Y	385	415	585	805	1085	1255

4. The unrounded monthly rent or home-ownership subsidy is obtained by putting the values for “a”, “b”, “c” (Annex 1 of the Act) and for “M” and “Y” into the formula set out in the first sentence of Section 19 (1) of the Act and by carrying out the following four calculations:

Calculation of the decimal numbers

$$z1 = a + b \cdot M + c \cdot Y,$$

$$z2 = z1 \cdot Y,$$

$$z3 = M - z2$$

$$z4 = 1.08 \cdot z3$$

In carrying out this calculation, the decimal numbers must be calculated as fixed decimal point numbers to ten decimal places.

5. This unrounded monthly rent or home-ownership subsidy must be rounded upward to the next higher full amount in euros if the remaining amount in cents without rounding is greater than or equal to 50; it must be rounded downward to the next lower full amount in euros if the remaining amount in cents without rounding is less than 50.

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2014 (1 August)

Child Care

(grey: minimum fee)

Net Income (month)	Krippe/Kindergarten ≤ 6y; 50 h/w					Krippe/Kindergarten 3y to 6y; 30 h/w					Hort 6y to 14y, school children; 15h/w additional hours before or after all-day school (from 8-16 pm)				
	monthly fee for the for the child in € household size (persons)					monthly fee for the first child in € household size (persons)					monthly fee for the child in € household size				
	2	3	4	5	6	2	3	4	5	6	2	3	4	5	6
1022	16	16	16	16	16	4	4	4	4	4	23	23	23	23	23
1023	17	16	16	16	16	4	4	4	4	4	23	23	23	23	23
1074	17	16	16	16	16	4	4	4	4	4	24	23	23	23	23
1125	18	16	16	16	16	4	4	4	4	4	25	23	23	23	23
1176	19	16	16	16	16	4	4	4	4	4	26	23	23	23	23
1227	19	16	16	16	16	4	4	4	4	4	27	23	23	23	23
1278	20	16	16	16	16	4	4	4	4	4	29	23	23	23	23
1329	22	17	16	16	16	5	4	4	4	4	30	23	23	23	23
1380	23	18	16	16	16	5	4	4	4	4	32	26	23	23	23
1432	25	20	16	16	16	5	4	4	4	4	35	29	23	23	23
1483	27	23	16	16	16	6	5	4	4	4	39	32	23	23	23
1534	30	25	16	16	16	7	6	4	4	4	42	35	23	23	23
1585	32	27	16	16	16	7	6	4	4	4	45	38	23	23	23
1636	35	29	16	16	16	7	6	4	4	4	49	41	23	23	23
1687	37	32	19	16	16	8	7	4	4	4	53	46	27	23	23
1738	41	36	23	16	16	9	8	5	4	4	57	50	32	23	23
1790	44	39	26	16	16	9	9	6	4	4	62	55	36	23	23
1841	47	42	29	16	16	10	9	7	4	4	66	59	41	23	23
1892	51	46	33	16	16	11	10	7	4	4	72	64	46	23	23
1943	54	50	36	20	16	11	11	8	4	4	77	70	52	29	23
1994	58	55	41	24	16	12	12	9	5	4	83	76	58	35	23
2045	64	58	46	29	16	14	13	10	7	4	89	82	64	41	23
2096	69	64	51	34	16	15	14	12	8	4	96	89	71	48	23
2147	74	69	55	35	19	17	15	12	9	4	103	96	78	55	27

2199	78	74	60	44	24	17	17	13	9	6	110	103	85	62	34
2250	83	78	65	48	29	18	17	14	11	7	117	110	92	69	41
2301	88	83	70	54	34	19	18	15	12	8	124	117	99	76	48
2352	93	88	75	58	39	20	19	17	13	9	131	124	105	82	55
2403	98	94	80	64	45	21	21	17	14	10	138	131	113	90	62
2454	103	99	86	69	50	22	22	19	15	11	146	139	120	97	70
2505	109	104	91	74	55	24	22	20	16	12	153	147	128	105	78
2556	113	110	97	81	61	24	24	22	18	13	162	154	136	113	85
2608	129	116	103	87	66	35	25	23	19	14	170	163	145	122	94
2659	145	132	109	92	72	46	37	24	20	16	174	171	153	130	102
2710	161	149	114	99	79	58	48	24	22	17	174	174	162	139	111
2761	178	165	131	105	86	69	60	36	23	19	174	174	171	148	120
2812	196	183	148	112	92	82	72	48	24	20	174	174	174	157	129
2863	204	201	166	122	99	94	85	61	30	22	174	174	174	166	139
2914	204	204	184	140	105	107	98	73	43	23	174	174	174	174	148
2965	204	204	202	159	113	115	111	86	55	25	174	174	174	174	158
3017	204	204	204	177	125	115	115	99	68	31	174	174	174	174	168
3068	204	204	204	195	143	115	115	112	82	45	174	174	174	174	174
3119	204	204	204	204	161	115	115	115	94	58	174	174	174	174	174
3170	204	204	204	204	180	115	115	115	107	70	174	174	174	174	174
3221	204	204	204	204	198	115	115	115	115	83	174	174	174	174	174
3272	204	204	204	204	204	115	115	115	115	96	174	174	174	174	174
3323	204	204	204	204	204	115	115	115	115	109	174	174	174	174	174
3375	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3425	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3475	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3525	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3575	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3625	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3675	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3725	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3775	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3825	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3875	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174
3925	204	204	204	204	204	115	115	115	115	115	174	174	174	174	174

Reference date for all information is **July 1st 2015**

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2014 Child Care (grey: minimum fee)	monthly fee for the first child in €, household size (persons)	
	Krippe < 3y; 20 h/w	
Net Income* (month)	3	4
1022	0	0
1023	0	0
1074	0	0
1125	0	0
1176	0	0
1227	0	0
1278	0	0
1329	0	0
1380	0	0
1432	0	0
1483	0	0
1534	0	0
1585	0	0
1636	0	0
1687	0	0
1738	0	0
1790	0	0
1841	0	0
1892	0	0
1943	0	0
1994	0	0
2045	0	0
2096	0	0
2147	0	0
2199	0	0
2250	0	0
2301	0	0
2352	0	0
2403	0	0
2454	0	0
2505	0	0
2556	0	0
2608	0	0